



OMIDYAR NETWORK



IMPACT INVESTING REPORT

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Introduction and Company Overview

Omidyar Network (ON) is a non-profit family foundation created by Pierre and Pam Omidyar in 2004. After becoming billionaires upon the 1998 IPO of eBay and feeling deep regard for causes impacting well-being around the world, the couple sought to make a difference by donating to charities. Soon, ON grew into a leading impact investing firm, providing finances to entrepreneurs in varying sectors, such as education, consumer internet and mobile, financial inclusion, government transparency, and property rights, across the world. Currently, ON is one of ten organizations of the Omidyar Group, the couple's overarching philanthropic venture. As a branch of the Omidyar Group, ON was designed to align with the Group's belief that people are inherently good and capable but don't always have access to opportunity. ON is driven by the mission "to catalyse social impact at scale by making investments in entrepreneurs and organizations that empower individuals to improve their lives and communities"¹² To date, ON has invested over \$1.4 billion into more than 600 companies and organizations across the globe and seen annual revenue growth of 250% from 2006 to 2016.³ This report provides an analysis of the industry within which ON operates, an evaluation of their strategy, insight into impact and an outlook on their financial health and success.

Industry Analysis

Socially Responsible Investing and the creation of the Impact Domain

Socially Responsible Investing (SRI) has seen substantial international growth since the mid-1990s.⁴ In the United States, SRI's conceptual origins can be traced to biblical times where Jewish law set directives on investing ethically. In the 1970s, after turmoil and divisiveness resulting from the Vietnam war, segregation, the Cold War, and the fight for gender equality created socially concerned Investors. Then the modern wave, with devastating occurrences and natural disasters, has influenced Investors to demand better environmental, social and governance practices⁵. Since then, SRI has been used interchangeably with other terms like Sustainable and Responsible Investing, this is unsurprising given the strong relationship between social issues and sustainability.⁶

Presently, SRI encompasses three basic criteria: environmental sustainability; social value creation; and good governance.⁷ ⁸ Environmental, Social, and Governance Investors can be referred to as ESG Investors, who often recognize stakeholders' attention and interest, seeking to improve performance while maintaining high equity returns and reducing downside risks.⁹ Despite ESG's benefits, the approach has been criticized for failing to emphasize investment results in terms of impact.¹⁰ ¹¹ ¹² Figure 1 depicts how SRI domains have interacted to create demand for impact in growth strategies. Although Impact Investing still holds the lowest integration level of all SRI approaches in most major Sustainable Investment Funds (SIFs), the sector recorded the highest growth rate in most economies from 2016 to 2020.¹³ ¹⁴ ¹⁵ In fact, according to the UN Principles for Responsible Investment (UNPRI), "In 2016 more than 450 Investors allocated US \$1.3 trillion to Impact investments worldwide, and the increasing demand for Impact investing products and services has opened a new commercial avenue for asset managers, fund managers and service providers."¹⁶

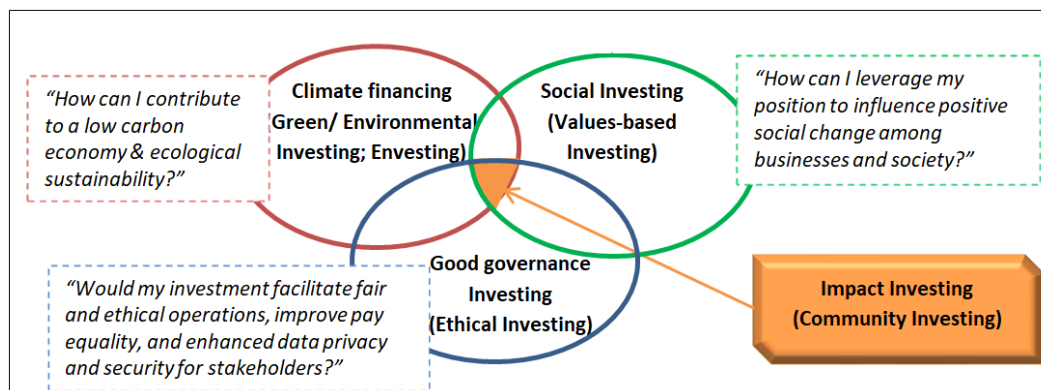


Figure 1. Domains of Socially Responsible Investing and the Impact Investing intersection.

The Impact Investing Sector

“Wealth is there to serve people, not to rule people.” - Sean Callahan at the Third Vatican Conference on Impact Investing sponsored by Omidyar Network

Definition (history, growth, current status)

The term Impact Investing is believed to have originated in the United States, at the Rockefeller Foundation’s Bellagio Summit in 2007.¹⁷ Recognizing that philanthropy had not met expectations of making the world safer, less polluted, or healthier, Investors at the Summit sought to explore options that financed businesses likely to perform well on ESG criteria to make the world a better place¹⁸, while making a profit. As such, Impact Investing moved from a traditional framework where the trade-off between profit and societal benefits was seen as inevitable, to a modern framework that promoted above-market returns and doing good simultaneously.¹⁹ Within this modern scope, Impact Investing strategies occupied a broad space, ranging from social-first to financial-first investments, and complex structures like microfinance funds to simple approaches like prioritizing community-based financial institutions.²⁰

Some pioneers of the sector are Acumen Fund (committed roughly US \$73 million in investments over 10 years), Gray Ghost (allocated about US \$100 million in low-income communities since 2003), and Omidyar Network (invested circa US \$550 million in grants and Base of the Pyramid initiatives since 2006).²¹ After the explosion of investments in clean technology firms like Solyndra in the early 2010s and the subsequent Investor loss of about US \$25 billion when the financial sector crashed, fear loomed among Investors. According to Bloomberg (2021), “clean tech became a dirty word in venture capitalists’ conversations.”²² Nonetheless, by 2015, the world’s call for better sustainable corporate practices during talks on the Paris Agreement and UN Sustainable Development Goals (SDGs), amidst significant reductions in the levelized cost of clean technologies, reinvigorated investment growth.²³ As such, investment approaches in the sector have moved from the preservation of “boutique investment houses” to a demand for measurable change.²⁴ While Investors in the sector may not directly drive change, they enable changes in government and society and leverage their finance to indirectly do so.

“Impact investment at its center is investment in real human values. When Ban Ki-moon presented the SDGs in 2015 at the United Nations, he referred to the SDGs as a human dignity narrative that leaves nobody behind. How can that be achieved? With integral human development and impact investing.” His Eminence, Cardinal Peter K.A. Turkson, Dicastery for Promoting Integral Human Development

There are multiple definitions for Impact Investing. However, most research agrees that there must be measurability and additionality. According to Brest and Born (2013), “an investment has impact only if it increases the quantity or quality of the enterprise’s social outcomes beyond what would otherwise have occurred.” Based on this definition and measurements of various global Sustainable Investment Funds (SIFs),^{25 26} ²⁷ we define an investment as impactful if it actively places capital in enterprises that generate social or environmental products or ancillary benefits, manages negative impacts on the environment, society, and economy, monitors indicators of impact, details disclosure on the results of impact monitoring; and pursues a favorable risk-return balance over the medium to long-term. The Impact Investor is intentional and motivated by a targeted outcome.²⁸ Often, this drives the modern-day Impact Investor to explore opportunities that the mainstream investment community may be missing.²⁹

Not all investments are environmentally or socially motivated. While some Impact Investors hold purely social goals like providing anti-malaria bed nets to residents in Africa, some more functional goals like maximizing financial returns in a sustainable manner, others are more neutral, only recognizing the importance of benefits to stakeholders or others in the value chain and perceive benefits to their image. Regardless of their motives, all Impact Investors manage risk, fulfill fiduciary duties, and review ESG criteria

to assess the quality of management and the resilience of their portfolio in dealing with future challenges. Impact Investors do this to meet their double-bottom line goal of long term returns and benefits to society.

Description of the value chain

A successful Impact Investing value chain is key to ensuring compliance with the Investor's objectives and tracing impact.³⁰ The diagram below (Figure 2) shows the basic flow of Impact Investing value.³¹ After specifying, assessing, and confirming impact, the Investor creates value by allocating funds directly to the Investee, or to a Fund Manager who issues capital to an organization. The Impact Investor only recognizes value from the existence of additionality during the monitoring/ assessment of impact continuance, which is shared in disclosures. Recognizing that "competitive advantage cannot be understood by looking at the firm as a whole",³² we find that each individual step in the investing process is therefore strategically relevant to the value chain.

Impact Investors receive *upstream value* by creating available finance, delivering funds used in the firm's (i.e. investee's) chain, and influencing firm performance via requiring and supporting ESG strategies and impact. Some funds also recognize *channel value* on the way to the *buyer's value chain*. Within the sector, the value to the Investor is the financial and social benefit, and the cost of creating that value is the risk of no or little return, or detrimental social impact. Since Impact Investors play a key part in the sustainable future and the creation of paradigm shifting businesses and industries like clean technology and renewable energy, it can be said that Impact Investors are competitively positioned within the overall value system. In the Impact Investing space, competition and additional entrants can be an advantage, as it creates more opportunities for social, environmental, governance and technological advancements. Nonetheless, Investors may seek competitive advantage by performing these steps better, differently, or more innovatively. This can help Impact Investors increase their margin and meet their double bottom-line goal.

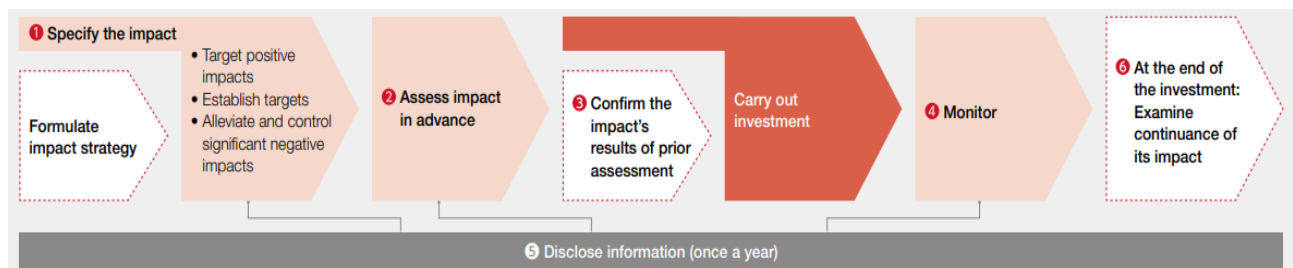


Figure 2. Basic Flow of Impact Investing in the Investor's value chain.

Assessment of the Sector (Porter's Five Forces & Shared Value Creation)

We used Porter's Five Forces Model to assess the nature, structure and profitability of Impact Investing.

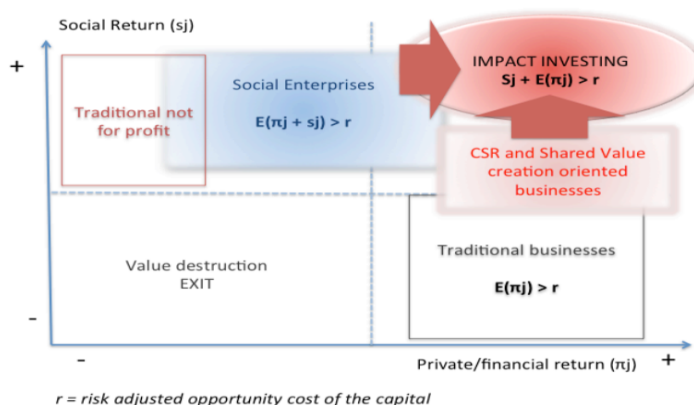
1. Rivalry among existing players – Rivalry in the sector is mostly influenced by access to capital. While this limits the numbers of actors, rivalry for a specific investment of interest, especially when relevant to a current fad, may be high. Therefore, the industry concentration is medium-high and there are high fixed costs to operate. Overall, the strength of the force is medium but this may become medium-high if buyer switching cost is high. Therefore, intense competition may make it difficult for existing Impact Investors to earn sustainable profits.
2. Bargaining power of buyers – There is a high volume of firms seeking investment but their power is low since they are competing with others by pitching their idea to the Investor. Switching costs are dependent on the existence/ nature of the contractual agreement between the Investor and Investee so it may be high / restrictive or low/ null. The internet makes information readily available but buyers may be unable to understand the information if the jargon presented is technical. Therefore, the strength of this force is low-medium.
3. Bargaining power of suppliers – Capital intensity requirements are high and the concentration of suppliers/ Analysts of big data and Fund Managers is steadily widening and now moderate in relation to the number of

Impact Investors. Therefore, the strength of this force is medium-high. Here, despite the existence of AI, suppliers have strong bargaining power because of the nature and complexity of the information provided. As such, they can extract higher prices from Impact Investors.

4. Threat of substitute products and services – In Impact Investing, substitute products may include angel Investors (pure social motives) or traditional investors/ venture capitalists (pure financial motives). Since there is more demand for investment than availability, the strength of this force is low.

5. Threat of new entrants - There is insufficient government policy and regulation for Impact Investors. The majority of policies act as incentives to invest in renewable energy and protect the environment but there aren't substantial regulations on the investment practice and the assurance of impact. However, as stated by Kramer and Porter (2011), strict environmental regulation is not a hindrance to competitive advantage but rather an advancement of it.³³ There is also limited protection, variable switching cost and not many factors restricting investment. Therefore, the strength of this force is low. Current players are less willing to earn diminished profits to reduce the threats, unless there is other non-monetary value that they are willing to defend (e.g. altruistic, social good, environmental, sustainable, or ethical benefits).

Since Porter's Five Forces does not adequately assess the competitive advantage stemming from improvements in a firm's ESG criteria,³⁴ we also evaluate Impact Investing vis-à-vis Porter's Shared Value Creation Mode (SVC). As stated by, Porter, Serafeim and Kramer (2019), "Investors who do not consider shared value as core to investment analysis risk distorting corporate valuations and missing the true industry innovators."³⁵ As such, Corporate Managers may inadvertently focus on checking ESG boxes that are not material, additional or impactful.



By considering social return, strategists understand the risk of liability, and opportunities to align social purpose with investing, thus improving the Investor's ability to contribute to a better world while enhancing financial returns. Notably, some researchers like Beschorner (2013)³¹ have posited that SVC ignores the tension between social and economic goals. Therefore, future research should assess the sector using other approaches.

Figure 4. Depiction of Impact Investing using Kramer and Porter's (2019) Shared Value Creation model. ³⁶

Drivers, Trends and Market failures

Drivers of Impact investing can be endogenous or exogenous. With respect to endogenous drivers, findings from De Amicis et al. (2020) show that there may be a positive correlation between Impact investing and fiscal incentives (though marginal), additional details or images on the social purpose and impact of the fund, visual key information on social finance, high returns, low financial risks,¹ and low impact risks.^{2, 37 38} On the other hand, exogenous drivers include global inequities, legal and technological advancements, the climate crisis, and international developments like the UN SDGs and Paris Climate Accord. Within the sector, these drivers have influenced several trends.

¹ This includes business model execution and management, liquidity and exit, country and currency, macroeconomic and financing risks.

² This spans execution, external, and stakeholder impact and may include climate, carbon, cyber, reputation or regulatory risks.

GIIN (2020) estimates that the global Impact Investing sector has grown from approximately US \$4.3 billion in 2011 to about US \$715 billion in 2019.³⁹ According to the survey, in 2019: 55% of impact investment assets were directed to developed markets while 40% were allocated to emerging markets; most capital (59%) was allocated to emerging markets with Sub-Saharan Africa (SSA) attracting the most assets (21%); private debt attracted the highest capital allocation (34%) and public equity attracted the second largest allocation of assets under management (AUM); private debt (37%), publicly traded debt (24%), and private equity (16%) attracted the most capital of the asset classes; private debt (61%), publicly traded debt (16%), and private equity (11%) were the most commonly used transactions of the asset classes; 60% of Impact Investors targeted both social and environmental impact in their portfolios; 73% used the SDG Framework, and target an average of 8 SDG-aligned impact themes⁴⁰; SDG8 (decent work and economic growth) was the most commonly targeted SDG among ~75% of Impact Investors.

North America is one of the fastest growing Impact Investment regions.⁴¹ 2019 data for the United States shows that about 60% of Impact Investors allocated capital to social and environmental causes, 34% to social only initiatives and 6% to environmental only. In addition, 67% of Impact Investors reported above-market rate returns, 18% below-market but closer to market rate returns, and 15% below market and closer to preservation rate returns. These Investors were more likely to be For-profit Asset Managers (51%), Not-for-profit Asset Managers (14%), and Foundations (14%) but few were also Development Financial Institutions (DFIs) (5%), Family Offices (4%), and Diversified Financial Institutions (3%). According to the survey, in 2019: about 69% of US Impact Investors believed that the market is growing steadily, 21% thought that it was about to take off and 9% saw it as being in its infancy; Investors grew their collective volume of capital invested by 12% per annum between 2015 and 2019; the highest number of investments and volume of capital invested was in private debt; water, sanitation and hygiene saw the greatest growth in asset allocation; the areas receiving the largest share of asset allocation were energy (~US \$19.08 million), financial services excluding microfinance (~US \$16.43 million), and microfinance (~US \$13.44 million); private equity remained the highest asset allocation with US \$27.6 million; and public equity saw the largest compound annual growth rate with 33%.

Most Impact Investors in the United States also use the UN SDGs to set, measure and report on impact. Similar to the global trend, decent work and economic growth was the most targeted SDG by Impact Investors (71%). The second most popular target (62%) was 'No poverty'; an area of significant investment within the Omidyar Network, which committed ~US \$250 Million to BOP initiatives⁴². The least popular targeted investments were Peace, justice and strong institutions (16%), Life below water (20%), and Life on land (29%). About 59%-37% of Impact Investors allocated capital to the remaining SDG areas.⁴³ While most Impact Investors in the U.S. (~81%) believe that the COVID-19 pandemic is likely to present financial risks and many are uncertain/ expectant of increased impact risks (62%), 57% of these Investors hope to maintain their investments and 15% are aiming to increase capital funding, but only 21% are likely to change their targeted SDG goal(s) because of COVID-19.⁴⁴

Therefore, the sector may be susceptible to market failures. Factors contributing to market failures may include: imperfect information about risks, expected returns and opportunities (e.g. in developing nations or low-income areas) as Investors often rely on intermediaries; negative externalities from firms or clean tech inadvertently destroying surrounding environments or habitats; skepticism about achieving both market-rate returns and social impact; inflexible institutional practices that exclude potential impact investments that require more flexibility than the fund's practices permit; transaction costs that make the investment financially unattractive; limited exit strategies (e.g. in insufficiently developed markets that are unable to provide reliable options in a reasonable time); and corruption, bribery and governance problems that create uncertainties about property rights and contract enforcement.^{45 46} Although some researchers like Richardson (2009) have referenced some such failures in their argument that the "speculative, myopic and avaricious" culture of the financial sector does not provide an environment for sustainable development and impact [8], others like Sucher and Beyersdorfer

(2009), believe that finance capitalism has created an economic system and institutions that are capable of creating positive impact.⁴⁷

Key technologies and technological developments

The growth of Impact Investing has been attributed to key technologies such as big data, artificial intelligence (AI), robotics, digital innovation, communication technology and other company-specific algorithms.⁴⁸ Similarly, several technological developments, such as those in the clean-tech sector, have been ascribed to finances from Impact Investors. Therefore, it can be said that Impact investing and technological developments go hand-in-hand. Using funds from Impact Investors, firms and entrepreneurs have been able to leverage technology to produce positive impact on ESG criteria, as seen via the creation of clean energy sources, micro-financing programs aiding the poor and disenfranchised, and farming/ fertilizing technologies that help farmers improve soil quality, yield and income. In return, Impact Investors use big data, AI, robo-advisors and automated investment and communications platforms to analyze large amounts of ESG data and communicate findings. Distilled Impact, for example, analyzes billions of records of public information. This data can be complex as it contains coverage across asset classes and themes, and multiple languages. However, the technology reduces the noise in the data, improves efficiency of analysis, allows identification of high yielding stocks, and (in some cases) reduces technical knowledge barriers. Still, human perspective is necessary for qualitative insight and to avoid regulatory risk, discriminatory lending practices and over confidence in the algorithm, as seen prior to the 2008 financial crisis.

Recent developments

Three recent key events have influenced the Impact Investing sector. They include:

- 1) The UNDP (2020) predicts that the COVID-19 pandemic has negatively impacted the world's progress towards the SDGs and "could push an additional 207 million people into extreme poverty on top of the current pandemic trajectory."⁴⁹ Since about 28% of Impact Investors are uncertain about or unlikely to make capital commitments in the near future because of the pandemic,⁵⁰ innovative approaches and capital generation strategies may be needed to funnel income to social impact activities.
- 2) Pew Research (2019) finds that mobile connectivity has been increasing, with over half of persons in emerging countries having access to smartphones.⁵¹ As such, Impact Investors like Omidyar Network have recently stated that the social impact entrepreneur is "undergoing rapid change".⁵²
- 3) Women are leading investment strategy.⁵³ Women have combined their wealth with their desire to create a better world for their family and children in their investment decisions. Gender equality, a key driver of poverty reduction, is a commonly targeted SDG by women.⁵⁴ According to a 2021 study by RBC Wealth Management, "female Investors are more likely to prioritize ESG criteria when considering which companies or funds to invest in", "female Executives are more likely to focus on impact-related topics", and "women are more willing to accept higher risk or lower return from investments in companies that have positive impacts on the world".⁵⁵

Key Success Factors

Based on our analysis, we believe that the following factors are important to the success of the sector:

- Impact Measurement Tools (e.g. UN SDGs, IRIS, IMP Five Dimensions, UN PRI, B Analytics, SASB, GRI, GIIRS, Operating Principles for Impact Management).
- Mission-driven collaborators such as US Sustainable Investment Fund (SIF).
- Technology and algorithms that build, monitor, and adjust models, which create reliable estimation of impact, additionality, risk and return, and reflect changes that affect a security's value over time.
- Professional standards that provide guidelines and reduce information asymmetry.
- Short-term victories such as social, environmental or governance improvement, as impact may not be recognized until the medium- or long-term.

- Intermediaries that connect Investors with impact-driven enterprises in a non-discriminatory manner.
- Government policies and laws that regulate actions, enable transactions by entrepreneurs and Investors, and produce direct incentives to actors, while monitoring the impact on society and payment of the full cost by players.
- Involvement of high net worth, innovative, risk tolerant and entrepreneurial Investors like Pierre Omidyar, who continuously demonstrate that the double-bottom line goal is achievable.
- Clarity of purpose and a vision that creates direction and unites people around a common cause.

Strategic Analysis

Omidyar Network's Mission, Vision, Values & Purpose

Omidyar Network's (ON's) vision is to build more equitable and inclusive societies. This vision is guided by the belief that every person has the power to make a difference, the philosophy that having access to commercial financing and the option to reinvest returns puts for-profit companies at an advantage for scale, and ON's five core values: boldness, connection, curiosity, integrity, respect. This system of guiding principles and tenets is an extension of the personal core values and beliefs of Pierre and Pam Omidyar, who consistently highlight that: change is possible given the right combination of insight, innovation, talent, and timing; economic advancement should serve the underserved; and innovation is most accessible through growth across sectors and geographies. Rooted from ON's value system is its purpose, which is represented by the three focus areas that ON has linked to equity and inclusiveness: Reimagining Capitalism, Responsible Technology, and Pluralism which we further expand on in the Impact Analysis section. In 2020, ON adopted a *targeting* mission - "reimagining systems that shape our daily lives: building an economy that works for all, realizing the promise of responsible technology, and fostering a more pluralistic society". This mission does not currently have a timeframe since it was more recently adopted.

Business Units, Services & Place in Value Chain

Omidyar Network has a hybrid structure that combines a limited liability company (LLC) with a private philanthropic foundation. This allows ON to invest in nonprofit organizations that are 501(c)(3) compliant, innovative for-profit startups/ entrepreneurs who tackle social challenges, and not-for-profits that go beyond the realm of public charities, such as 501(c)(4) social welfare organizations. ON's service offering includes financial support and human capital capabilities (e.g. boards servitude, strategy consultancy, coaching on recruiting new talent for executives). In addition to capital investments, ON connects their investees to entrepreneurial visionaries with business know-how and gives them access to web and mobile technologies to go beyond incremental improvement and make a significant, widespread impact.

To understand Omidyar's place in the value chain we researched how their flow of impact investing creates opportunities in their upstream and downstream activities, as well as their surrounding environment. Within the sector, Omidyar takes on downstream activities through its role as Financier (via capital allocation) and Advisor (via human support mechanisms), and upstream activities through its role as Data provider (via disclosures). In keeping with its commitment to Reimagining Capitalism, ON announced on October 6th 2021 that it is shifting its work to two upstream issues critical to systems change—shifting policy and shifting power.⁵⁶ Prior to this on January 15th 2020 Place Fund (an independent US nonprofit organization focused on addressing issues of insecure property rights, unsustainable land use, and climate change) was created to shift ON's focus more upstream to societal challenges at the systemic level.⁵⁷ While many large companies engage in these activities as a strategic initiative, ON views them as aligned with its mission, vision, and values.

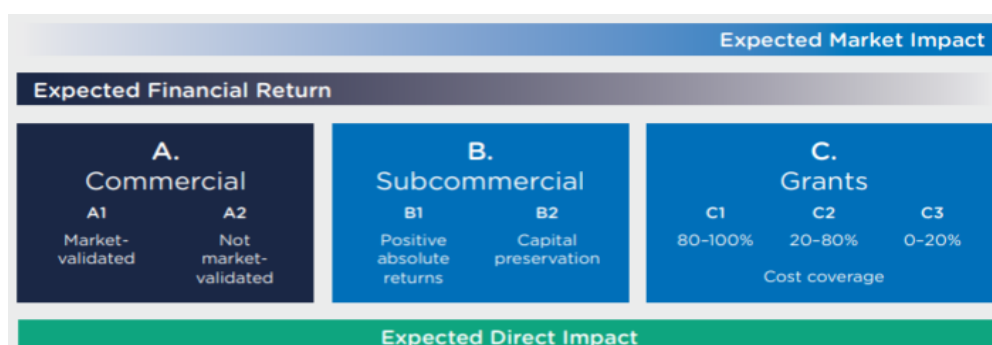
Primary Target Market, Value Proposition & Differentiation

In the first five years of operation, Omidyar Network (ON) focused on individual investments, usually in early-stage organizations with the potential for direct and disruptive impact on communities. In 2009, they began to pivot, finding value in supporting firms that had direct interactions with their communities and their supporting infrastructure. By 2012, ON further defined their focus to developing systems to catalyze sector-level change. At present, funding in these early-stage investments is generally provided for operating expenditures and the company is allowed the freedom to grow organically. They still may provide human capital and expertise, but the dollars are not tied to a specific motive. This is because the leadership of Omidyar Network recognizes that building infrastructure is not a linear effort, and the goal is to create sector wide disruptions, which requires flexibility with funding. They call it the “problem first, tool second” approach.^{58 59} However, we note that ON’s targeting of early-stage investments within sectors that many companies are not willing to is risky as the capital returns, if any, are long delayed and uncertain.⁶⁰ Currently, among ON’s high impact companies, the minimum age is three and the average age is ten.⁶¹

Omidyar Network encourages imitators in the field as they consider it an indicator of their own success. However, the foundation differentiates itself from pre-existing grant making models as well as impact investors through several factors. The foundation has the freedom to address a range of impacts in both for-profit and nonprofit institutions. For nonprofits seeking grant assistance, Omidyar Network provides specialized knowledge and human capital in the form of consulting and impact management technologies. For social entrepreneurs, Omidyar Network provides the patience to capital needed to create sustained success and scale innovations. This drives a valuable proposition to partners as in today’s global economy, capital flows away from some companies and organizations that challenge the most critical social and environmental of our time. At Omidyar Network, they claim to “embrace the risk of creativity and approaching problems differently to change the world. We don’t just work with our partners, but for them by providing both financial, human and intellectual capital to provide industry knowledge for success.” This value proposition is Omidyar Network’s source of differentiation relative to its partners.

Source of Competitive Advantage & Major Competitors

Omidyar Network looks for industry changers and as part of their competitive advantage is comfortable



providing capital with no immediate expected return. The core competencies that lead to their competitive advantage include critical thinking, communication, collaboration, creativity, curiosity and character.⁶² They aim for impact across the continuum which led to the creation of the Returns Continuum Framework (RCF)⁶³ by which they evaluate each new investment. Risk is inherent to the self-defined roll of “priming the pump”, thus their source of sustainability lies within this framework. First, ON confirms that the potential investment can have direct (or firm-level) impact. Then the investment is assigned to one of three categories (commercial, subcommercial, and grants) by determining the expected financial returns and expected market impact. For all investments, the high expectation for direct impact is the same but the expected market or financial return vary by type of investment thus uniting each new investment under a common theme of impact but with differing financial return expectations. A visual of the RCF is as follows:

Inflexing the system with high capital investments comes with high responsibility. Omidyar Network is aware of their influence with their place in the value chain and is careful to be hyper aware of market distortion. The questions they focus on before making an investment are typically:

- Am I slanting the competitive playing field by favoring one firm over another? Even if there is only one incumbent, will a large grant dissuade others from entering the market?
- If I do not expect market rates of return on my investment, do I believe that this firm can meet at least one of the following conditions:
 - Scale on its own or with additional grant funding without needing follow-on rounds of commercial financing
 - Eventually refine its business model, so that it can tap commercial capital down the road
 - Create a significant demonstration effect, thereby advancing or even catalyzing an entire sector
 - Provide an important public good for the industry as a whole.⁶⁴

Omidyar Network is not the only player in the impact investing game, some of their major competitors are below. While the term “competitor” is used to describe the organizations, within the impact investing sphere, the more competition, the better. There can never be too much investment in impact.

- Vital Capital Fund (Cyprus): A \$350 million impact-investing private equity fund. It invests in opportunities that simultaneously enhance the quality of life of communities in rapidly developing nations, primarily in sub-Saharan Africa, while also delivering attractive financial returns for investors. Vital focuses on tackling challenges associated with the provision of food, water, healthcare and sustainable infrastructure opportunities that are scalable.
- BlueOrchard Impact Investing Managers (Zurich Switzerland): A more mature impact investing firm with over \$8 billion invested in over 562 institutions. Originally founded in 2001 as the first commercial manager of microfinance debt investments on a global scale. BlueOrchard connects small scale investors with needed capital targeting 13 different SDGs such as financial inclusion, education, climate, governance, and capacity building.
- Community Reinvestment Fund (Minneapolis, USA): Founded in 1988, the company has invested over \$2.4 billion in loans investments and bonds within the USA to economically strained communities. CRF focuses on creating small scale community partnerships in the form of community leaders, nonprofits, financial institutions, and foundations. The Company works to provide access to capital to small business owners, especially people of color, that traditionally have been ignored by the traditional banking system as well as bring together partners to create new strategies and technologies that build stronger local communities.
- The Gate’s Foundation (Seattle, USA): The largest grant making foundation in the world, The Gate’s Foundation created by Bill and Melinda Gates following the success of Microsoft was founded on the principle that every life has equal value. The foundation generates considerable donations from both the Gate’s Trust as well as from Warren Buffett. In 2020, the foundation committed over \$5.8 billion to support initiatives such as gender equality, low-income community development, scalable innovations, global health, and policy advocacy.

S.W.O.T. Analysis & Blue Ocean Strategy Approach

STRENGTHS	WEAKNESSES
- Ebay going public in 1998 and the Omidyar's becoming wealthier than expected (beginning of investment funding money) - Hybrid combination of both a 501(c)(3) and an LLC allowed for for-profit investments and non-profit ventures - Helped build market in 3 key ways: - Founders' journey was used as a blueprint for other high net worth families just getting started - Policy was focused on to open doors for new capital - Worked to build market infrastructure and thought leadership	- With current website update, many of their hyperlinks do not work or redirect to "page not found" errors 2020 was the first Impact Report that Omidyar Network published and the report only evaluated years 2004-2014 - Data from 2014-present is hard to find - Omidyar Network focused on absolute impact rather than the cost-effectiveness of the dollars versus benchmarks or alternative uses of philanthropic funding
OPPORTUNITIES	THREATS
- Impact Investing movement was new so founders were able to capitalize on defining impact investing for themselves - As the market scales, so will the need for more philanthropists to back the public goods that will keep impact at the center of the impact investing market - Recent commitments to anti-Black Racism and dismantling systemic oppression - Belief in investing across the returns continuum brings both great risk and great reward	- Urgent need for market segmentation as Impact Investing sector took the "big tent" approach to unite diverse players around a common goal "Big tent" approach left the impact investing sector debating between financial return and social impact - One of the reasons that Omidyar has started reporting/ measuring impact. Credibility and expanding funding opportunities require proof that finances are being used for their intended purpose

Impact Analysis

First Impact Report Published

In 2020 Omidyar Network published their first Impact Report, which covers the first 10 years of their efforts from 2004 to 2014. In this time, they invested \$780 million across 380 organizations in 40 countries and found their investees had a direct impact on 1.2 billion people.⁶⁵ Taking into consideration the funding provided and the depth of impact each investee had on the community, Omidyar Network calculated the impact of their investments to be responsible for 150 million of individuals. This is a conservative estimate, ignoring investments that went to non-customer facing investees, based strictly off percent of total capital contributed by Omidyar Network to the investees with direct impact.⁶⁶ Though direct investments accounted for a little over 80% of their spending, it also ignores the weighted effects of their investments' societal, structural, and intersectoral reach. Due to the nature of impact investing it is difficult to track the impact of each dollar. In writing the Omidyar Network First 10 Years of Impact Analysis, the foundation decided to develop a compatible methodology for analysis with help from Caroline Ashley Insight. This is due to funding in the first ten years being dispersed investments, with a lack of data, and most investments being in early-stage companies.⁶⁷ Much of the data used to generate the report is internal from investees and external data from Copenhagen Consensus, systematic reviews, control trials, and other research analyses.⁶⁸ The difficulty in tracking impact is an industry wide issue and experiments on standardization are ongoing.^{69 70} In 2017 they invested in the Impact Management Project (IMP), which is working to standardize best practice in the industry and help impact investors better understand return tradeoffs in the market.⁷¹

Another challenge of Impact measurements is that Omidyar Network supports businesses with human capital as well as monetary capital. They report 25% of the investees in the first 10 years received nonmonetary support including executive recruitment, coaching, and board development, while also taking roles on boards themselves.⁷² They have found this level of support has been invaluable to the success of companies. Investees who received not only monetary assets, but also human capital, were three times more likely to meet their criteria for significant impact.⁷³

The analysis found including the middle-class population has a greater effect on positively impacting low-income communities, than targeting just the lower class. They also found reach was inversely proportional to the depth of reach, with lighter impact reaching greater numbers (20 mill), deep impact reaching far less (600,000).⁷⁴ It is also worth noting no “impact stars” were under the age of 3 with an average age of 10.⁷⁵ Some examples of impact from their first ten-year analysis include:

A 2009 grant to Wikipedia, an online information platform with 42 million users. This was considered light impact.⁷⁶ D.Light, a for profit company Omidyar Network considered to have moderate impact. D.light has reached 80 million individuals improving the finances, productivity, health, and environment of their customers. Akshara Foundation, a nonprofit considered to have deep impact, with the mission to bridge technology and education. They have impacted education access and quality to over three million children, Karnataka, Odisha, and Andhra Pradesh.⁷⁸ This company is now under the branch of Omidyar Network India, which became its own entity in 2018. Living Goods, a 2010 grant recipient, considered to have deep impact has decreased child mortality by 27%.⁷⁹ MicroEnsure, a for profit with deep impact, has provided microinsurance for low and middle customers that has now reached over 56 million people in 20 countries. They were a pioneer and have had a major impact on sector growth.⁸⁰ In total Omidyar Network has invested \$100 million into microfinance across 28 organizations (15 (FP) 13 (NP)).⁸¹ Mapan, previously Ruma, was acquired in 2017 by Go-JEK from Omidyar Network and has reached millions in Indonesia and employed 10,000 low-income entrepreneurs to provide financial services.⁸²

Current Impact

As of 2020 a majority of funding has gone to nonprofit organizations (NP), 47% has been invested in for-profit companies (FP), and a small percentage into political organizations.⁸³ As mentioned above, the core focus areas, are responsible technology, reimagining capitalism, and pluralism.⁸⁴ They tackle these issues by investing in models, tools, ideas, and policies that enable an equal and fair society. In addition to grants and investments in the three focus areas, they also publish extensive blog and idea posts relating to the content. They continue to dissect the systems that brought on these issues and analyze the current events.

Technology

Technology with a potential for positive impact is a focus based on promoting ideas, technologies, and policies for a safe, fair, and compassionate digital space.⁸⁵ Omidyar Network not only invest in companies and organizations aligned with their values, but they also create pressure for those who don't. For example, Omidyar Network funded the Tech Worker Handbook, a website created by a former Pinterest employee, is directly involved with the whistleblower Facebook testimony earlier this year. It is a platform for tech employees who witness unethical behavior in their industry and guides them through the steps to speaking out responsibly and effectively.⁸⁶ Omidyar Network has added a whistleblower hotline to their own structure that all employees can report to confidentially and follow up on their case.⁸⁷

Other companies Omidyar Network has funded include, Open Markets Institute, Public Knowledge, and Yale's Thurman Arnold Project, all of whom are working on accountability with the big tech and data companies by policy reports, testimonies, and petitions. Investees such as, Color of Change, Center for American Progress, Free Press, Open Technology Institute (New America Foundation), Public Citizen, Consumer Reports, and Consumer Federation of America are taking the battle to policy makers in congress.⁸⁸

Omidyar Network has also supported the fight against disinformation on messaging platforms with grants to higher education research studies at Harvard, University of Texas, Stanford, and University of North Carolina. They have invested in Meedan (NP), Digital Health Lab, and Africa Check, all of which are working to better information spread through the internet.⁸⁹

Meedan, for example, is made up of researchers, coders, designers, and journalists that are developing more ethical data collection. They have created verification systems for sharing content.⁹⁰ In 2019 they began a global fact-checking project via WhatsApp. This has been adopted in 5 countries and covers 4 languages.⁹¹ Ethical Explorer is an online toolset Omidyar released that identifies the tech risk zones and gives guidelines, resources, and workshops for mitigating these biases. The risk they list are exclusion, bad actors, surveillance, algorithmic bias, addiction, outsized power, and data control.⁹²

Another internal project Omidyar Network launched was the Good ID Movement in 2016, based on the belief having a form of identification is empowering for economic status of an individual. They argue further that the presence of a digital identity when managed responsibly is empowering because it is easy to access, difficult to lose, and universally accepted.⁹³ There is a toolkit for governments and businesses to manage ethical privacy and security of digital information.⁹⁴ The #GoodID movement is a coalition of over 200 individuals, businesses and governments that support the dialogue, research, advocacy, and practice of responsible technology and data protection when dealing with digital identities.⁹⁵

In September 2021 Omidyar Network pledged \$55 million to internet and mobile technologies to increase accountability in government transparency and innovation for economic power to people in emerging markets over the next three years.⁹⁶ This falls under their government transparency initiative, mentioned below, that has funded organizations including the Sunlight Foundation, mySociety, and Global Integrity.⁹⁷ This will also provide funding in their ongoing mobile technologies sector, which includes investees such as FrontlineSMS, Ushahidi, and Opportunity International. The goal of the mobile initiatives is to “break new ground in improving access to services, reaching underserved populations, and driving large-scale social impact.”⁹⁸

Reimagining Capitalism

Though, Omidyar Network recognizes the triumphs of capitalism, they also call out the imbalance and failures that are present in the system. Some of the themes bleed over from technology, such as, targeting vulnerable communities, weaponizing online information, and widespread surveillance without ethics. Lack of transparency in political speech, degradation of journalism, and anticompetitive behavior also fuel imbalances in the system.⁹⁹

Their approach to the reimagining of capitalism has been to support a power shift back to the people, the employees of the capitalistic society. Power in the hands of the many, as opposed to the few, demands better wages, policies, benefits, opportunities, addresses structural racism, and results in better economic health. As checks and balances act this power shift is essential for political health. The “Call to Reimagine Capitalism in America” is a blueprint for businesses with five core elements to be considered in building a new economic footprint.¹⁰⁰ This proposal goes beyond stakeholder capitalism, with more specific targets to break down the walls that unequally deny opportunity to less privileged citizens.¹⁰¹

1. **Ground the Economy in New Ideas, Shared Values, and Inalienable Rights-** The values should be at the forefront of the economy, dignity, economic security, freedom to fully engage as equals. The right to free speech, thought, association, religion, should be honored and built upon, including the right to privacy, humane standard of living, and social protection. Society should support those struggling in society.
2. **Build an Explicitly Anti-Racist and Inclusive Economy-** The current economy carries structural racism, classism, and sexism. It was built on slavery and has not changed since our divorce from slavery. The National Relations Act, the GI Bill, the New Deal, all have discrimination against Black Americans written into their laws. We must reject justifications of historical racism and address how to move past the barriers that exist still today.
3. **Create Counterweights to Economic Power-** The marriage of economic and political power promotes privileged. The lines in which this is allowed to operate must be drawn to empower the masses over the wealthy. Grassroots and labor unions are key players in this change. Separation of power, transparency, and federalism via the courts have the power to counteract these players.

4. **Rebalance the Relationship Between Markets, Government and Communities-** In disagreement with the neoliberal view, they promote government regulation in market systems to prioritize public good. The most important factor being legitimate democracy. The role of the government being to support innovation, deliver public goods, and set policies that are inclusive to these values. To do this the government will need sufficient funding.
5. **Build A Resilient Economy That Accounts for 21st Century Context-** Technology, climate change, globalization, and misinformation are major players in the way today's society function that are all more recent than the economy structure itself. The new economy must embrace these new realities because it is a failing system in its current form.¹⁰²

Part of Omidyar Network's solution is challenging monopolistic power by investing in competition and changing incentives of decision makers. Their strategy is investing in startup companies to ensure fair market competition, empowering consumer culture, grassroot organizations, and building policy to discourage monopolies, especially in the technology sector. The goal is to redefine value creation, where businesses contribute to the common good, not just shareholder good.¹⁰³ They have supported ballot initiatives, referendums, issue advocacy campaigns, technical assistance networks, post-election efforts, and coordinated catalytic funding over the long-term for grassroots organizations.

In May 2020, Omidyar Network released the first in a series of reports calling out tech giants. The first report analyzes the antitrust nature of Google, presenting specific behaviors that put the public in jeopardy and could be used against Google in the court of law.^{104 105}

As of October 2021, Omidyar Network has pledged \$10 million over the next three years to a new sub-focus area, Corporations, Capital Markets, and the Common Good.^{106 107} A key inspiration behind this is the work they have focused on up to this point has limited scale until the rules are changed. In the proposal a change in the rules would give responsibility to the companies for stakeholders (employees, the supply chain personnel, and the community) and for externalities. The goal is to allow companies to change their incentives to long term planning as opposed to short term thinking.¹⁰⁸ Omidyar Network has funded Americans for Financial Reform, B Lab, The Value Reporting Foundation, Interfaith Center for Corporate Responsibility, and the Shareholder Commons who work to mandate ESG, transparency, and policy change for supporting infrastructure.^{109 110}

This is not the first time they have supported B Lab and The Shareholders Commons, who received a grant from Omidyar network to sponsor the report "From Shareholder Primacy to Stakeholder Capitalism: A Policy Agenda for Systems Change" released in 2020.¹¹¹

Pluralism

Pluralism is a new focus area, inspired by the murder of George Floyd and the uprising of the nation for a call to action.¹¹² In an article released on June 19th, 2020, the 155th anniversary of Juneteenth, by the CEO Mike Kubzansky and Simone Hill, a Senior Manager at Omidyar Network, a few things are addressed. The connection of pluralism and the other two focus areas (reimagining Capitalism and Technology) are addressed, and the lack of action Omidyar Network has taken in the past.¹¹³ The recognition that they are a major player in the creation of change and this injustice has been largely overlooked until the recent demand from the people in this country.

The idea here is coexistence, to dismantle white supremacy, and to create a world where perspectives, understanding and dialogue are cultivated with respect as equals.¹¹⁴ Capitalism as it stands has widened the wealth gap between Black and White families by a factor of ten, stemming from disparity in equal pay and equal opportunity.¹¹⁵ The technology industry has enabled racism, with low representation or acceptance of Black employees. Tribalism, authoritarianism, and intolerance in government and in the workplace are at the heart of the issues holding back Pluralism. Omidyar Network emphasizes the value of networks, building connections to

empower new societal norms. They are actively looking for partners in the Black community and have committed \$500,000 to organizations fighting for racial justice.¹¹⁶

Funding in this focus area started in 2020 and has so far been focused on nonprofits who serve North America.¹¹⁷ Some of the recipients so far include Common Counsel Foundation (NP), Advancing Black Strategists Initiative (Jobs with Justice) (NP), and Jobs with Justice Education Fund (Political). Advancing Black Strategist Initiatives, for example, gives scholarships, host a conference on the State of Black Workers, and provides internships for the black community.¹¹⁸

Other investments and grants made in relation to Pluralism, prior to it being a focus area include Radical Imagination podcast with Angela Glover Blackwell, Next Generation Foresight Practitioners, a platform for underrepresented voices across the global to amplify their ideas for what the future brings and how to best move forward, and Comuzi, a London based for profit design studio that strengthens minority voices to influence the democracy in artificial intelligence systems.¹¹⁹

Pluralism has caused an internal shift for Omidyar Network as well. They created a DEI council, reviewed their hiring process to include the Rooney Rule, and equalized opportunity and pay throughout their organization. They are now requiring funding recipients to share diversity data of leadership and board members.¹²⁰ Going forward they are establishing better practice for grantmaking to align with pluralism.

They have strong DEI statements of goals to increase diversity in senior management, update policies, seek partnerships in the Black community, and to set, review, and share meaningful targets in these areas.¹²¹ Currently, the board of directors' host five positions. Two of which are held by Pierre Omidyar and his wife, Pam Omidyar, the other three seats are held by two White men and one White woman. There is a clear opportunity to enforce the goals of DEI at the board level. As for the rest of the team there are 60 employees, 38 of whom are woman and 30 are from minority backgrounds.¹²² The seats held by minorities are disperse and equal, they include senior management, senior vice president, management, senior director, and director titles, as well as principal, administrator, and associate titles. This seems to be well spread between woman, men, minorities, and woman minorities.¹²³ This data was accumulated with visual profiling, having not found reporting on these statistics. Via a quick LinkedIn search, of 11 Black employees listed, seven of them were hired 2020 or later. From this, it is assumed that there was a large discrepancy in diversity prior to the BLM movement of 2020, but it shows Omidyar's commitment to change for the better.

Going Forward

In 2018 Omidyar Network was recruited by the United Nations to collaborate on the Sustainable Development Goal 4 (SDG4), to "Ensure inclusive and equitable quality education and promote lifelong learning opportunities for all." Omidyar Network was one of the 200 collaborators in the *Investing in Knowledge Sharing to Advance SDG 4* Report sponsored by the Education Commission. In the report Omidyar Network was one of four organizations highlighted as a case study for the sector level impact.^{124 125 126} In the case study their work with the Global Schools Forum is acknowledged, as Omidyar Network was a seed funder for the organization.¹²⁷ The recent partnership with the Lemann Foundation in Brazil is proof of their ongoing commitment to global education. The partnership will explore EdTech opportunities that can help accelerate education in Brazil at an opportune time as the Brazilian Government passed new curriculum standards in 2017 that districts and teachers are now looking to abide by.¹²⁸

Omidyar Network often works to increase information access. They funded research under the US Financial Health Pulse which gives a comprehensive analysis of financial health in the U.S. on a citizen basis, not just a measure of GDP. It found 55% of American families have poor financial health.¹²⁹ It is studies like these that encourage change at a policy level.

Omidyar Network is continuing to develop a lens in the space of impact investing. They have focused on sectors such as financial services, property rights, and education.¹³⁰ Over all one of their greatest impacts seems to be not just in funding itself but in the networks, they have created to build change. They share knowledge through articles, reports, and toolsets they create. They also hold conferences such as “Omidyar Network Baraza” and “Omidyar Network Haat” to bring together communities and share information.¹³¹ As pioneers in the field, they have helped almost 150 families transition to Impact investing and since released a resource guide for other families and philanthropists who are interested in Impact Investing.¹³²

Work on Measurements of Impact

Assessing investees with non-direct impact has been challenging, they are continuing to develop a strategy for impact measures in policy and infrastructure organizations they support. A significant number of recent investments were made to political campaigns, policy changers, grassroots, research, and universities. In 2017 Omidyar Network awarded a grant to Impact Management Project, a company rising from the industry demand for reporting impact.¹³³ ¹³⁴ This project, the Rise Fund, and Bridge Impact Plus+ all received subsidies from Omidyar Network to establish methodology for venture capital firms to better evaluate impact and reach.¹³⁵

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Going forward they plan to tailor analysis strategies to more defined sectors. This will benefit investment strategy as well in staffing, budgets and performance metrics. In 2019 Acumen’s Lean Data team started work with Omidyar’s investees to help better understand impact and demographic of the populations served.¹³⁸ To further advance efforts, Omidyar Network is working to provide new tools such as Acumen’s Lean Data, Viamo, RIWI, Feedback Labs, and Premise for their investees to better track and report their impact.¹³⁹ With better ways to measure impact comes better ways to access future investments, decision making and allocation of resources. Better definition of sectors will allow for standardized comparisons and data collection.¹⁴⁰ Already they are defining these focus areas, it is evident on the Omidyar Network webpage, and through the job positions they host, many being focus area specific. Omidyar Network also has a Exploration and Future Sensing division responsible for new trends and horizons that have the potential to disrupt the status quo and improve equity.¹⁴¹

Financial Analysis and Success Indicators

Historical Analysis

Omidyar Network’s (ON’s) path to fruition was untraditional. When Pierre Omidyar became a billionaire upon the 1998 IPO of eBay, he and his wife started a non-profit family foundation, which he later referred to as “reactionary”.¹⁴² After reading about causes impacting well-being around the world, the couple donated money to multiple charities, a cycle that continued for years. Eventually, this evolved into a formal philanthropic initiative. However, upon comparing Omidyar’s philanthropy arm with its for-profit ecommerce, Pierre realized that the for-profit model was able to scale faster, and with significantly less capital investment. As such, in 2003 Omidyar referenced his Advisors, who deemed tax law as the limiting factor in funding for profit companies as a 501(C)(3). Therefore, Omidyar added an additional \$1-2 million a year in taxes to include for profit companies in the then philanthropies’ portfolio; an investment that Pierre Omidyar saw as an insignificant cost in relation to the \$100 million a year they were already spending with no chance of return. At this, in 2004, ON was founded with a hybrid structure as both LLC and a classic 501(C)(3) branch, which gave the organization the flexibility to where they invested money. This decision allowed the foundation to have the flexibility of generating tax-free donations for grant making purposes, while still permitting the organization to make capital investments in for-profit companies that align with the foundation’s impact goals. This unique structure creates a complicated process for managing the company’s financial records as returns on investments are taxed differently than the foundation’s grant-making activity. ON was built (and still operates) on the belief that having access to commercial financing and the option to reinvest returns puts for-profit companies at an advantage for scale. This belief formed ON’s vision, purpose, and mission to target companies creating positive change.¹⁴³

Following the formation of Omidyar Network from 2005-2018, the organization felt that they needed to respond to the dynamically changing world. The foundation stated that, “entrepreneurial innovations alone often cannot get us to where we need to be in our economy and society. Changing a sector to get to a healthy society requires multiple approaches at different levels in a given system for these solutions to succeed in delivering real inclusion and opportunity” In an effort to diversify the foundation’s approach, the LLC portion of the business launched several different initiatives as independent impact investing organizations. These subsidiaries were given the ability to have greater autonomy in operations in order to promote high impact approaches to investing. Each spinoff would still be a part of the wider Omidyar Group. New sectors developed from this initiative include:

- The Democracy Fund challenges political systems to be more open and just.
- Omidyar Technology Ventures is an early-stage venture capital firm investing in technologically driven ideas.
- Spero Ventures is an investment firm for educational, sustainable and mental health related business.
- Luminate a philanthropic organization working to invest in companies that promote civic engagement, digital rights, and financial transparency.
- Flourish a venture capital firm that invests in companies focused on improving individuals' financial health and prosperity.
- Place Fund is a non-profit technology organization whose mission is to make mapping data accessible to improve people's lives, strengthen public services and better the environment.
- Imaginable Futures a global impact investing firm seeking to shift inequitable systems through holistic learning.
- Omidyar Network India an early-stage investment arm driven to create opportunity for mid to low-income populations in India.

Non-profit Analysis

Because part of the foundation is still designated as a non-profit, Omidyar Network publishes annual consolidated financial statements as well as its federal tax return documents (Form 990-PF). For the purposes of this report, we will focus our observations on the financial structure and health of the foundation as of 2019.¹⁴⁴ Omidyar Network Fund’s LLC impact investing division does not report its holdings although later in the financial analysis some assumptions are made.

The balance sheet of the Omidyar Network Fund reported Net Assets as an expression of Assets less Liabilities (see right). Liquid assets for the company consist of noninterest-bearing liquid cash of \$2.09MM as well as liquid investments purchased with maturity dates of three months or less of \$33.4MM. These cash equivalents are reported at fair value and placed in credit quality financial institutions. Because all activities from the grant making portion of the business operate on a cash in-cash out basis, they do not appear on the consolidated balance sheet. The

foundation’s investment portfolio is segmented into four primary categories which include convertible securities, public equity securities, fixed income securities, and limited partnership investments in equity funds, venture capital funds, and hedge funds. Public equity securities (\$178.6MM) represents ownership in publicly traded companies in the form of corporate stock. Fixed income securities (\$77MM) are corporate bonds that provide fixed interest payments to the foundation which the organization gets repaid their investment upon maturity. Convertible securities (\$44.5MM as of FYE19) similarly are issued as a corporate bond but can be converted to a predetermined amount of stock equity at the foundation’s discretion. These conversion options historically have

Omidyar Network Fund, Inc. Consolidated Statements of Financial Position December 31, 2020 and 2019

	2020	2019
Assets		
Cash and cash equivalents	\$ 33,121,002	\$ 35,498,587
Interest and dividends receivable	2,686,117	7,528,792
Investments	382,034,083	388,374,062
Program and mission related investments	72,197,578	59,459,038
Total assets	<u>\$ 490,038,780</u>	<u>\$ 490,860,479</u>
Liabilities and Net Assets		
Accounts payable and accrued liabilities	\$ 33,798	\$ 140,184
Grants payable	8,880,000	14,975,622
Current and deferred federal excise tax liability	1,414,361	728,764
Total liabilities	<u>10,328,159</u>	<u>15,844,570</u>
Net assets without donor restrictions	<u>479,710,621</u>	<u>475,015,909</u>
Total net assets	<u>479,710,621</u>	<u>475,015,909</u>
Total liabilities and net assets	<u>\$ 490,038,780</u>	<u>\$ 490,860,479</u>

been exercised by the foundation as only held \$5.9MM of convertible securities as of FYE20. The foundations investments in their partnerships (\$88.3MM) range from investments in massive software asset management firms to impact venture capital funds to offshore hedge funds.¹⁴⁵ All these investments' primary purpose is to create returns for the foundation to increase the business's net assets.

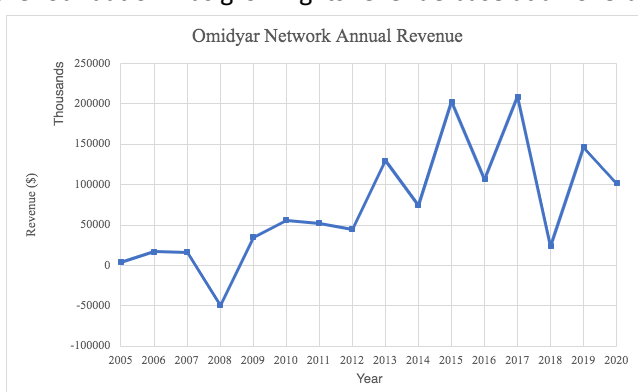
In contrast, the foundation separates both qualifying Program Related Investments (PRIs) and Mission Related Investments (MRI) from their investment portfolio. These types of investments are separated on the balance sheet as they are defined as investments that accomplish a charitable, educational, or similar goal that furthers the organization's exempt purpose. MRIs are able to expect a return on investment, while PRIs are designated to have no profit motive and have a benefit from the regulations that foundations have related to their distribution requirements. Foundations are required by the IRS to make minimum distributions to charitable purposes annually of approximately 5% of the organization's assets. The benefit of the PRI classification is that these investments are considered qualifying distributions working toward this requirement.

Liabilities of the organization are limited and consist of \$140M of accounts payable, \$14.98MM of grants that were agreed to by the foundation but not yet paid, and \$728M of deferred federal excise taxes. Federal excise taxes for foundations are subject to a 1% excise tax rate annually, however this rate was increased to 1.39% under the 2019 Taxpayer Certainty and Disaster Tax Relief Act beginning January 1st, 2020. This explains why in FYE20, the balance of the foundations deferred tax increased to \$1.41MM. Omidyar Network's non-profit maintains

Omidyar Network Fund		
2019 Expense Breakdown		
		% of Total Revenue
Grants Awarded	\$ 106,451,114.00	72.7%
Salaries and Benefits	\$ 25,175,954.00	17.2%
Professional Services	\$ 8,080,779.00	5.5%
Travel	\$ 3,304,386.00	2.3%
Facilities	\$ 3,439,586.00	2.4%
Federal Excise Tax	\$ 848,803.00	0.6%
Mic. Expenses	\$ 5,358,321.00	3.7%
Total Expenses	\$ 152,658,943.00	104.3%

strong liquidity as its current liabilities are limited and have the ability to quickly convert its interest/dividends receivables, marketable securities, and redeemable hedge fund investments quickly into cash. As of FYE19, the foundation held a current ratio of 3.44x and extensive working capital of \$25.2M.¹⁴⁶ As the non-profit arm of the Fund, the organization's income statement is primarily based on donation and grant making activity. Total revenues in 2019 of \$146MM are generated from three primary sources. Approximately 42% of the foundation's revenues are generated from the realized investment returns from the foundation's investment portfolio including capital gains, dividends and bond interest. Of their total investment portfolio, the company produced an ROI of 15.09% in 2019 from this revenue stream. Although it may be confusing that a nonprofit is highly invested in for-profit investments, the income statement details that this activity is intended to generate funds available for grants. Contributions which represent 26% of revenues in 2019 were made entirely by the Pierre M. Omidyar Trust. Finally contributed services and in-kind gifts contributed 30.1% of revenues. These sources can range from donated professional services, monetary contributions from small donors, free advertising, etc. Of these sources, 72.7% and \$106MM in 2019 went directly to grants awarded to a variety of organizations across the world. This is above industry averages amongst nonprofits typically only use 67% of revenue dollars to its services.¹⁴⁷

Since 2005, Omidyar Network's nonprofit arm's experienced revenue volatility on an annual basis. Until 2013, the foundation was growing its revenue base at an overall average growth rate of 16.0% where it experienced a

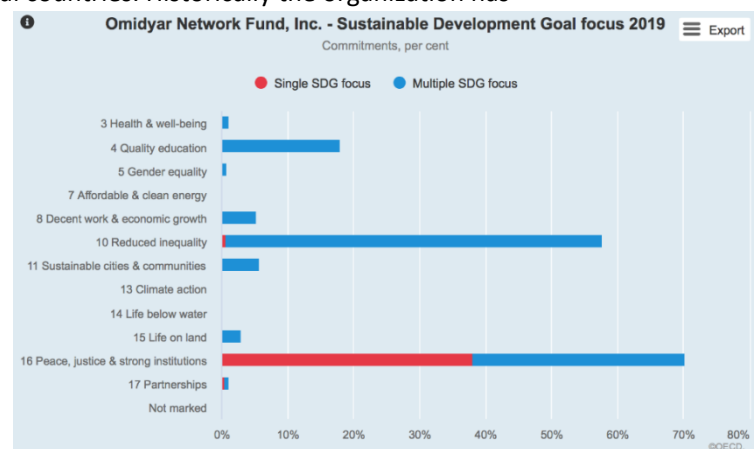


large spike of revenue to \$129MM largely due to large contributions from the Omidyar Family Trust which are considered unrestricted for grant making purposes. The company did experience negative revenues in 2008 of (\$45MM) due to large losses in investment income due to the collapse of the financial markets. The advantage of Omidyar Network's structure is that in every period of revenue

shortfall from financial market volatility, Pierre Omidyar's family office supplies significant contributions in the following year to maintain cashflow. In subsequent years, the foundation, although volatile due to varying contributions from the founding trust and realized investment income, the organization has projected its expenses to match this revenue growth model. When comparing Omidyar Network's annual revenue to the public nonprofit industry averages, the company outperformed industry revenue growth from 2006-2016. The urban institute reported that in this period, businesses with a 501(c)(3) designation experienced a 58% increase in revenues while Omidyar Network generated an increase of 2500%.¹⁴⁸

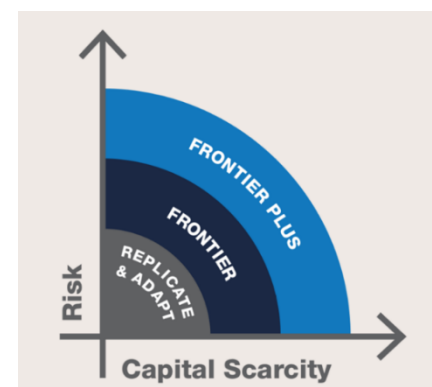
The aggregate portfolio of grants made during 2019 was made out to a wide variety of nonprofit organizations across the world. Large concentrations of grant funding were allocated to social infrastructure services.¹⁴⁹ When broken down by UN Sustainable Development Goals (SDGs), a majority of funding was concentrated toward peace, justice, and strong institutions; reducing inequalities; and quality education. From a geographic standpoint, 38.2% of investments were made to organizations in the United States, 41.1% to developing countries, and the remaining 20.7% to other international countries. Historically the organization has concentrated their grant-making activities heavily within the host country, but year to year have made efforts to make more global investments. To support global expansion, Omidyar Network created new teams located in Johannesburg, Mumbai, Bangalore, London and Washington DC.

The foundation's tax return reports 7 different officers of the Board of Trustees for the foundation. In 2019 as well as all other years the foundation has filed, none of these officers received any officer compensation from the foundation, rather they make their salaries as employees. Officers historically are onboarded internally, which helps maintain a collective vision for the foundation and reinforces stability.¹⁵⁰



For-Profit Impact Investing

As a private impact investing group, Omidyar Network's LLC does not have any reporting responsibilities to be made to the public. Since the LLC's inception, the firm has invested over \$751MM to its for-profit ventures. The portfolio has become diluted in recent years as Omidyar Network has splintered off several subsidiary organizations for their concentrated investments (see above). Despite this, Omidyar Network's investment team has a diverse portfolio both by types of investment and geographically. The organization does not take unsolicited proposals to consider for investment but prefers a model of scouting new investments from their partner organizations and through sponsored networking events. Investments can range from investments as small as \$50M to as large as \$15MM. Typically, Omidyar Network seeks to have a majority stake in their portfolio companies as well as a position on board to help steer the company towards balancing both impact and financial success. Omidyar considers three primary investment strategies:



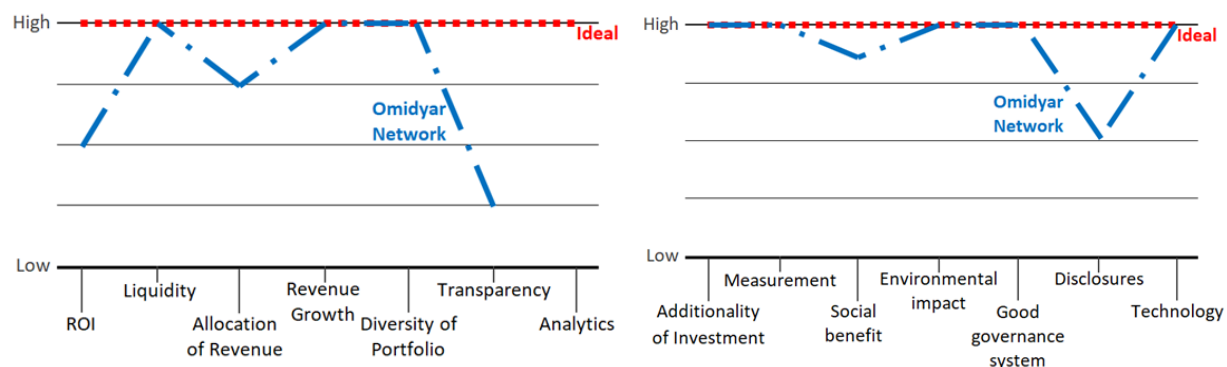
- **Frontier Plus:** Seed Capital in the form of early-stage financing of companies that may be on the idea stage to fund the prototype of a product/service in order to bring to market. These businesses they invest in should benefit low-income communities in countries with under-developed capital markets. Although these investments normally carry greater risks, they have the greatest potential to create impact with depth.

- Frontier: Investments in early-stage startups (typically Series A) that have already brought a product to market and are experiencing basic levels of success impacting their local communities. Frontier capital aims to provide accelerated growth capital for companies that have limited fixed assets and target mixed-income populations.
- Replicate and Adapt: This funding type typically takes the form of Series B-D funding for companies with proven business models but need growth capital in order to build scale in order to adapt to emerging markets.¹⁵¹

Although these forms of investments are where Omidyar concentrates its focus, Omidyar Network LLC also has a portion of its portfolio in more traditional commercial investments such as late-stage capital for companies that are close to an IPO/acquisition, equity investments through public exchanges, and fund investments. The company differentiates its strategy from a risk capital perspective from traditional venture capital firms as many provide little patience to capital with strict economic expectations such as 5–7-year time horizons, high returns or quick turnover for IPO's or acquisitions. When asked about how Omidyar Network differs from a typical venture capital model, VP Amy Klement explained, "We make impact investments where we believe there is a market, and so we push for market-based returns. Because social impact is our primary goal, we may take a more long-term view than a purely commercial investor or fund a company with potential for massive social impact but significantly higher risk."¹⁵²

Analysis, Recommendations, and Conclusion

We find that Omidyar Network (ON) has taken strong initial steps towards becoming an industry leader in the Impact Investing (and grant making) space. The Network's hybrid structure permits the organization to place capital in virtually any space they believe can generate the most net benefit to society. From a financial health standpoint, ON's strategies are performing well on the basis of liquidity, revenue growth and diversity of portfolio, and somewhat well in allocating revenues. However, there is a need to improve ON's ROI and transparency. Despite the need for increased disclosures to combat information asymmetry in the industry, ON has a more favorable performance in its impact achievement and ESG criteria. Still, enhancement and continuous improvement in underperforming areas would well-position ON to augment its value proposition and create shared value in the current market.



Canvas analyzing the performance of Omidyar

Canvas analyzing the performance of Omidyar

Network's financial health strategies against key factors of competition in the sector

Network's impact strategies against key factors of competition in the sector

As the Network's investment portfolio has continued to grow over the years, it was able to successfully prioritize knowledge and capital by key initiatives. By spinning off independent organizations, individual sectors are better able to practice self-autonomy, network to their specific industry, and provide industry specific knowledge to entrepreneurs. While the Omidyar Network continues to develop, it will lead the industry by developing mechanisms for better measurement of impact by depth and scale. These findings can then be shared across

their portfolios to build a model for organizations to better monitor the social benefit their products or services create. Because the Network is a foundation, we appreciate that the team can stray from the traditional Venture Capital model and provide patience to capital, although the company values market based financial returns. The Network also has committed human capital to their investees and resources from sources such as Acumen to provide business insight as well as develop metrics to better measure success indicators. Additionally, Omidyar Network is not afraid to share what they have learned over the years, encouraging imitation and adoption of their model from competitors.

While we expect ON to be successful in the future, we believe that there is room for improvement. As such, we used the 4 Key Questions Framework developed by Kim and Mauborgne (2005) to develop actionable recommendations that can reconstruct Investor value, assess the industry's boundaries, and identify blue ocean opportunities or a new value curve.¹⁵³

Q1: Eliminate	Remove branding as an Impact investment strategy to increase differentiation, and adopt messaging that is more synonymous with Omidyar's values; e.g. Impact (Investment) for a better world.
Q2: Reduce	Reduce revenue reliance on Omidyar Family Trust to combat susceptibility to negative effects from the volatility of investment returns.
Q3: Raise	- Increase knowledge and experience sharing to combat information asymmetry. This can lead to the creation of more impact driven businesses. - Disclosure of all funding, including public financing (CPR). This may lend to the creation of measures to calculate full net impact. - Increase focus on Justice, Equity, Diversity and Inclusion (JEDI) initiatives and heightened investment in diverse-owned firms. - Continue to develop the company website by bringing additional transparency to the business. This would include Organizational Charts, publication of for-profit financials, and list of partnerships. - Increase publications of best practices found to aid smaller players and encourage imitators.
Q4: Create	- Utilization of measurement tools that use the same definition of impact to facilitate reliable time series comparisons and action-oriented improvement based on a Plan-Do-Check-Act system. This would be most effective if supported by government legislation. - Consider developing new financial products that will support COVID-19 resiliency efforts and sustainable businesses establishment. - Integrate BIPOC representation on the Board of Directors and begin reporting internal company profile statistics. - Analysis of Social Return on Investments (SROI) to gain a fuller picture of how value is created.



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